

Misleading prospectuses, manipulation of share prices, false accounting, and issuance of forged paper shares all led to losses.¹ The reality is that some of the most trusted markets in the world today also had Wild West beginnings.

By examining the most famous examples of markets gone wrong, specifically the sequence of events, the innovative investor is better informed by history to protect present and future wealth. When patterns reappear, it's a good time to exit right, or at least reassess one's investment strategy. This thinking is prudent with regard to any investment, including a venture into cryptoassets.

These examples also show that cryptoassets are not going through bizarre growing pains unique to them. Instead, they are experiencing the same evolutionary process that new asset classes over hundreds of years have had to go through as they matured. For those interested in a thorough history of such events, we highly recommend Edward Chancellor's *Devil Take the Hindmost: A History of Financial Speculation*.

While the way in which markets become dangerous to investors changes over time, and often becomes less insidious the more the asset and its associated markets mature, the potential for markets to destabilize never disappears. Much of the world learned that lesson during the financial crisis of 2008.

Broadly, we categorize five main patterns that lead to markets destabilizing:

- The speculation of crowds